Financial Risk Report

Apple Inc. | FY2024

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Analysis plan: Rule-based fallback (LLM unavailable) | Risk assessment: Rule-based fallback (LLM unavailable) | Ratios: deterministic Calculation Engine

Overall risk level MODERATE

Rule-based assessment (LLM unavailable). The overall level is the highest category level: moderate. liquidity risk: moderate; solvency risk: moderate; profitability risk: low; cash flow risk: low.

Risk by category

Liquidity Risk MODERATE

The current ratio is 0.8673, meaning current liabilities exceed current assets. The quick ratio is 0.5589. This is partly mitigated by positive operating cash flow of 118,254 (CFO / current liabilities 0.6704).

Solvency Risk MODERATE

Debt-to-equity is 1.8723, meaning debt exceeds shareholders' equity. The debt ratio (debt / total assets) is 0.2922. A low equity balance (for example after share buybacks) can raise this ratio without new borrowing.

Profitability Risk LOW

The company is profitable at every level reported (gross margin 46.21%, operating margin 31.51%, net profit margin 23.97%).

Cash Flow Risk LOW

Operating cash flow is positive (118,254). Financing cash flow of -121,983 reflects net payments to capital providers (e.g. debt repayment, dividends or buybacks).

Risk factors and evidence

RF1. Current liabilities exceed current assets

MODERATE

Liquidity Risk

The current ratio is 0.8673, meaning current liabilities exceed current assets. The quick ratio is 0.5589. This is partly mitigated by positive operating cash flow of 118,254 (CFO / current liabilities 0.6704).

Evidence: Current Ratio = 0.8673; Quick Ratio = 0.5589; CFO / Current Liabilities = 0.6704; Operating Cash Flow = 118,254
Knowledge: K-LIQ-01, K-LIQ-02, K-LIQ-03

RF2. Reliance on debt financing

MODERATE

Solvency Risk

Debt-to-equity is 1.8723, meaning debt exceeds shareholders' equity. The debt ratio (debt / total assets) is 0.2922. A low equity balance (for example after share buybacks) can raise this ratio without new borrowing.

Evidence: Debt-to-Equity = 1.8723; Debt Ratio = 0.2922; Liabilities-to-Assets = 0.8440; Total Equity = 56,950
Knowledge: K-SOL-01, K-SOL-02

RF3. Positive margins

LOW

Profitability Risk

The company is profitable at every level reported (gross margin 46.21%, operating margin 31.51%, net profit margin 23.97%). Return on equity (164.59%) should be read alongside return on assets (25.68%), because a small equity base inflates ROE.

Evidence: Gross Margin = 46.21%; Operating Margin = 31.51%; Net Profit Margin = 23.97%; Return on Equity = 164.59%; Return on Assets = 25.68%
Knowledge: K-PRO-01, K-PRO-02, K-PRO-03

RF4. Positive operating cash flow

LOW

Cash Flow Risk

Operating cash flow is positive (118,254). Financing cash flow of -121,983 reflects net payments to capital providers (e.g. debt repayment, dividends or buybacks).

Evidence: Operating Cash Flow = 118,254; Net Income = 93,736; Financing Cash Flow = -121,983; Net Cash Change = -794
Knowledge: K-CF-01, K-CF-02, K-CF-03

Recommendations

- Monitor short-term obligations against operating cash flow, and compare the liquidity ratios with industry peers and prior years. (RF1)
- Review the debt maturity schedule and the reasons for the low equity balance before drawing conclusions on leverage. (RF2)
- Add prior-year figures and industry benchmarks to turn this single-year snapshot into a trend and peer comparison.

Financial ratios (Calculation Engine)

Ratio	Value	Formula
LIQUIDITY		
Current Ratio	0.8673	current_assets / current_liabilities
Quick Ratio	0.5589	(cash + short_term_investments + accounts_receivable) / current_liabilities
Cash Ratio	0.3695	(cash + short_term_investments) / current_liabilities
SOLVENCY		
Debt-to-Equity	1.8723	total_debt / total_equity
Debt Ratio	0.2922	total_debt / total_assets
Liabilities-to-Assets	0.8440	total_liabilities / total_assets
PROFITABILITY		
Gross Margin	46.21%	(gross_profit / revenue) * 100
Operating Margin	31.51%	(operating_income / revenue) * 100
Net Profit Margin	23.97%	(net_income / revenue) * 100
Return on Assets	25.68%	(net_income / total_assets) * 100
Return on Equity	164.59%	(net_income / total_equity) * 100
EFFICIENCY		
Asset Turnover	1.07x	revenue / total_assets
Inventory Turnover	28.87x	cost_of_goods_sold / inventory
Receivables Turnover	11.70x	revenue / accounts_receivable
CASH FLOW		
CFO / Current Liabilities	0.6704	operating_cash_flow / current_liabilities

Not calculated (required values missing, never estimated):
Interest Coverage: missing interest_expense

Analysis observations

- Net Income (93,736): The company reported positive net income.
- Operating Cash Flow (118,254): Operating activities generated positive cash flow.
- Investing Cash Flow (2,935): Investing activities produced a net cash inflow.
- Financing Cash Flow (-121,983): Financing activities produced a net cash outflow.
- Net Cash Change (-794): Cash decreased over the period.

Extracted financial data (USD millions unless stated)

Revenue	391,035	Total Assets	364,980
Cost Of Goods Sold	210,352	Accounts Payable	68,960
Gross Profit	180,683	Short Term Debt	20,879
Operating Expenses	57,467	Current Liabilities	176,392
Operating Income	123,216	Long Term Debt	85,750
Income Before Tax	123,485	Total Liabilities	308,030
Income Tax	29,749	Total Equity	56,950
Net Income	93,736	Operating Cash Flow	118,254
Diluted Eps	6.08	Investing Cash Flow	2,935
Cash	29,943	Financing Cash Flow	-121,983
Short Term Investments	35,228	Net Cash Change	-794

Limitations

- Generated by the rule-based fallback because the LLM was unavailable; interpretation is less detailed.
- Efficiency ratios are reported but not rated, because rating them requires industry benchmarks.
- interest_coverage could not be calculated (missing: interest_expense).
- Benchmarks not available: Industry current and quick ratios; Industry profit margins; Industry asset, inventory and receivables turnover.

Knowledge sources used

K-PRO-01: Margin analysis (General financial statement analysis principle (add citation))
K-EFF-01: Turnover ratios (General financial statement analysis principle (add citation))
K-LIQ-03: Operating cash flow relative to current liabilities (General financial statement analysis principle (add citation))
K-SOL-02: Debt ratio versus liabilities-to-assets (General financial statement analysis principle (add citation))
K-CF-02: Operating cash flow versus net income (General financial statement analysis principle (add citation))
K-LIQ-01: Current ratio below 1.0 (General financial statement analysis principle (add citation))
K-LIQ-02: Quick ratio and cash ratio (General financial statement analysis principle (add citation))
K-SOL-01: Debt-to-equity and low equity balances (General financial statement analysis principle (add citation))
K-SOL-03: Interest coverage unavailable (FinRisk data rule (spec section 24))
K-PRO-02: Return on equity inflated by low equity (General financial statement analysis principle (add citation))
K-CF-01: Negative financing cash flow (General financial statement analysis principle (add citation))
K-CF-03: Net change in cash (General financial statement analysis principle (add citation))
K-PRO-03: Return on assets (General financial statement analysis principle (add citation))
K-GEN-01: Single-period analysis limitation (FinRisk methodology note)
DOC-ratio_definitions-8: Interest coverage (knowledge/docs/ratio_definitions.md)
DOC-ratio_definitions-3: Quick ratio (knowledge/docs/ratio_definitions.md)
DOC-ratio_definitions-17: Operating cash flow to current liabilities (knowledge/docs/ratio_definitions.md)

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